

leader in the highly-fragmented packaged drinking water business, where over 6,000 brands vie against each other. It has 128 plants now, and plans to hit 150 in a couple of years, of which at least 15 will be company-owned. It owns about 13 of the 128 now.

There is a renewed vigour in the company, so much so that there is little indication now that Chairman Ramesh Chauhan had spoken of selling the company to Tata Consumer Products for a reported ₹6,000–7,000 crore just last November. Indeed, it is now planning to move into neighbouring markets, make a fresh foray into the soft drinks business and in the process, fire up the non-water business.

WATER, WATER, EVERYWHERE

Those diversification ambitions aside, Bisleri is still the biggest piece, it drives revenues and gives the company tremendous equity in the market. In fact, it is this dominance in water that the company is banking on for its soft drinks foray.

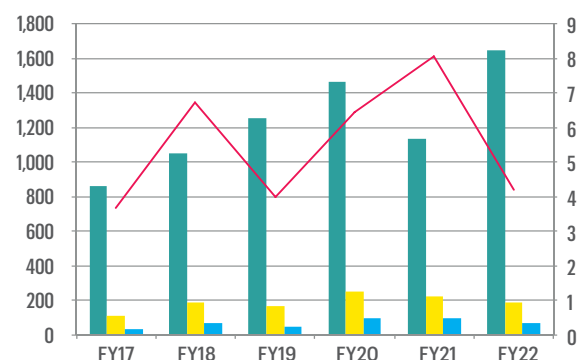
72 | GOING STEADY

Bisleri's operating revenue has grown

● OPERATING REVENUE (LHS) ● EBITDA (LHS) ● NET PROFIT (LHS) ● NET PROFIT MARGIN IN PER CENT (RHS)

ALL FIGURES IN ₹ CRORE;

NOTE: CLOSE TO 20 PER CENT OF THE BUSINESS THROUGH THE FRANCHISEES IS NOT A PART OF THE REVENUE NUMBERS; **SOURCE** ROC, TOFLER



1 AFTER A DIP IN COVID-19-HIT FY21 OPERATING REVENUE HAS RETURNED TO THE GROWTH PATH

2 THE PROFIT MARGIN PAINTS A SLIGHTLY DIFFERENT PICTURE AS IT HAS FLUCTUATED OVER THE PAST FIVE YEARS

Like all businesses, the water one too was altered after the outbreak of Covid-19. It forced smaller players to take many tough decisions, but it also provided Bisleri an opportunity. “We decided to expand the number of manufacturing plants and our lines as well. In a state like Tamil Nadu, significant new capacity was put in place,” says Bisleri CEO George Angelo.

But there can be no doubt that it is a very tough business because it is highly fragmented geographically and its customer base is largely in the urban areas. The primary source is groundwater, which means that there is always the risk of overexploitation. Besides, this is a space that is monitored by the Central Ground Water Authority, which has divided the country into almost 6,600 zones and decides what is safe and what is over-exploited. That keeps companies on their toes while planning capacity expansion. “We map out our plants depending on where capacity is available,” says Angelo.

K.S. Narayanan, who has spent several years in the food and beverage industry and is now an independent advisor, says the packaged drinking water business is operationally intensive across geographies. “The segment has a limited play on margins as also limited scope for margin enhancement,” he explains.

Those low margins are also the result of the price-sensitive nature of the business. “Consumers see water as a basic hygiene necessity, making both availability and affordability very critical. Inevitably, the price point plays a big role,” says Narayanan.

Another reason behind the geographical fragmentation is logistics. According to Anand Kumar Jaiswal, Professor of Marketing at IIM Ahmedabad, the weight transported limits its geographical spread, leading to more plants being needed. “Besides, a large player like Bisleri must contend with relatively unknown local brands with lower distribution costs offering high margins to retailers. It works very well for consumers who are not brand conscious,” he adds.

Then there is the challenge on the manufacturing front. “Going for contract packers is a logical way to do it with both quality and product in our control. Eventually, we would like to have large-scale plants and that means making big investments,” says Angelo. Of course, a lot depends on the cost of land, but the capex would be at least ₹50–60 crore for a new plant with some level of scale and could even be as high as ₹100–120 crore. For a contract manufacturer without scale, the outgo is much lower at ₹15–20 crore.

Equally important is the sustainability part, since higher sales translate to increased plastic consumption. Angelo says the objective is to reduce its use, figuring out ways to reuse and also look at ways to recycle it.